# Promissory Estoppel

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# The Nature of Estoppel

- Contract does not exhaust the category of promises having some legal effect. A promise that is not supported by consideration or that was not made under seal may, in spite of having no contractual force, give rise to certain other legal effects under the doctrine of promissory estoppel.

- What is an Estoppel: ‘Estoppe, cometh of the French word estoupe, from whence the English word stopped; and it is called an estoppel or conclusion, because a man’s own act or acceptance stoppeth or closeth up his mouth to allege or plead the truth’ (Coke on Littleton, 352a)

- Why estoppel?

✧Protects the reasonable expectations of the parties
✧Promotes good faith behaviours
✧Economic efficiency

# “The House called Estoppel”

The word “estoppel” only means stopped. You will find it explained by Coke in his *Commentaries on Littleton* (19th ed, 1832), vol. II, s. 667, 352a. It was brought over by the Normans. They used the old French “estoupail.” That meant a bung or cork by which you stopped something from coming out. It was in common use in our courts when they carried on all their proceedings in Norman-French. Littleton writes in the law-French of his day (15th century) using the words “pur ceo que le baron est estoppe a dire,” meaning simply that the husband is *stopped* from saying something.

From that simple origin there has been built up over the centuries in our law a big house with many rooms. It is the house called Estoppel. In Coke's time it was a small house with only three rooms, namely, estoppel by matter of record, by matter in writing, and by matter in pais. But by our time we have so many rooms that we are apt to get confused between them. Estoppel per rem judicatam, issue estoppel, estoppel by deed, estoppel by representation, estoppel by conduct, estoppel by acquiescence, estoppel by election or waiver, estoppel by negligence, **promissory estoppel**, proprietary estoppel, and goodness knows what else. These several rooms have this much in common: They are all under one roof. Someone is stopped from saying something or other, or doing something or other, or contesting something or other. But each room is used differently from the others. If you go into one room, you will find a notice saying, “Estoppel is only a rule of evidence.” If you go into another room you will find a different notice, “Estoppel can give rise to a cause of action.” Each room has its own separate notices. **It is a mistake to suppose that what you find in one room, you will also find in the others**.’

*McIlkenny v Chief Constable of the West Midlands* [1980] QB 283 at 316-317 per Lord Denning

# Doctrine of Promissory Estoppel

- Promissory estoppel is an equitable doctrine.

- A promise, which is not contractually binding **because it is unsupported by consideration,** may nevertheless be binding on the promisor by virtue of the doctrine of promissory estoppel.

- Promissory estoppel must be distinguished from other forms of estoppel, such as estoppel by representation. [The essence of estoppel by representation is this: where A has by his words or conduct justified B in believing that a certain state of facts exists, and B has acted upon such belief to his detriment, A is not permitted to affirm against B that a different state of affairs existed at the time. Lord Birkenhead in *Gatty* v *MacLaine* [1921] 1 AC 376 at 386.

- Doctrine and its evolution:
  - Dates back to Hughes v Metropolitan Railway Co (1877)
  - "A promise, intended to be binding, intended to be acted on and in fact acted on, is binding so far as its terms properly apply" [Denning J in *High Trees* (1947)]
  - This doctrine was initially controversial, but it has since received broad judicial approval. There are still unsettled aspects and the approach to it varies from country to country.

# Central London Property v. High Trees House 288-290

- What were the facts of this case? What was the legal issue? How did the court resolve that issue?

- This case decides that a promise intended to be binding, intended to be acted on, and in fact acted on, is binding so far as its terms properly apply. From the facts, what circumstances indicated that the promise was intended to be binding?

- Why was the promise in this case not enforceable as a contract?

- ‘In each case the court held the promise to be binding on the party making it, even though under the old common law it might be difficult to find consideration for it. The courts have not gone so far as to give a cause of action in damages for breach of such a promise, but they have refused to allow the party making it to act inconsistently with it’. Explain this principle. Do you consider this an appropriate limitation on the scope of application of the doctrine of promissory estoppel?

# Elements of Promissory Estoppel

Promissory estoppel requires that:

1. The parties be *in* ***a legal relationship*** at the time of the promise or assurance;
2. The **promise or assurance** be ***intended*** **to affect that relationship and to be acted on**; and
3. The other party in fact ***relied*** **on the promise or assurance**. Such reliance must be to **the promisee's detriment**. *Trial Lawyers Association of British Columbia v. Royal & Sun Alliance Insurance Company of Canada*, 2021 SCC 47

**Note**: a determination of whether the doctrine of promissory estoppel applies is highly fact-specific; it requires a careful assessment of the evidence.

# Element 1- An existing legal relationship between the parties

- There must have been a pre-existing legal relationship between the parties at the time the promise or assurance on which the estoppel is founded was made.

- To others to apply doctrine where there was no pre-existing legal relationship would contravene the rule that the doctrine creates no new rights (it is not a contract variation).

- The pre-existing relationship can be contractual or non-contractual.

- The historical debate whether promissory estoppel operates in a situation where there is no pre-existing legal relationship between the parties is now settled.

  - *NM v. ATA* 2003 BCCA 297, para 21: "In these circumstances, I can see no reason to remit the matter to the trial court for further consideration, even if the trial judge can be said to have erred in requiring proof of an existing legal relationship as a necessary element of promissory estoppel. Whether he did err in that regard I prefer to leave for another case where the question requires to be answered".
  - *Cowper-Smith v. Morgan*, 2017 SCC 61, para 22: "We need not decide, in this case, whether proprietary estoppel may attach to an interest in property other than land; [...] Nor need we determine whether equity more broadly enforces non-contractual promises on which claimants have detrimentally relied".
  - *Trial Lawyers Association of BC v. Royal & Sun Alliance Insurance Company*, 2021 SCC 47 at paras 15 and 41

# Exercise 1

Lakeside is a mid-sized real estate development firm based in Toronto. It maintains its primary banking relationship with TD Bank, which includes a $50 million revolving line of credit.

In May 2025, Lakeside sought a $100 million construction loan from BMO to fund a new condo project in Mississauga. As part of its due diligence, BMO required confirmation that Lakeside's credit facilities with TD were in good standing and that TD would not call in its line of credit or interfere with Lakeside's cash flow during the term of the BMO loan.

Lakeside consulted TD, which provided it a signed letter that stated: "*TD confirms that it has no intention, currently or in the foreseeable future, of altering, calling, or otherwise interfering with Lakeside's existing line of credit, which remains in good standing. We expect to maintain our current banking relationship with Lakeside through the duration of their ongoing development project*".

Lakeside forwarded this letter to BMO. Based on this assurance in TD's letter, BMO disbursed the $100 million loan to Lakeside on June 1, 2025.

In December 2025, TD abruptly demanded repayment of all the loan Lakeside had drawn down from the $50 million line of credit, citing internal risk reassessments unrelated to Lakeside's conduct. This action led to severe liquidity issues for Lakeside, which subsequently defaulted on its payments to BMO in June 2026. BMO has sued TD, asserting that the letter it gave to Lakeside was a promise that TD knew would be relied upon by BMO, and that TD should be estopped from acting inconsistently with that promise.

Discuss whether BMO invoke promissory estoppel against TD?

# Exercise 2

Julia is the owner of a small organic grocery store in Little Jamaica. In early 2023, Oakridge Developers Ltd. began building a large shopping complex nearby. They approached her and offered her a space in the new development, telling her they were committed to supporting local businesses.

In March 2023, Oakridge's project manager sent Julia a letter stating: "We will reserve Unit 14A for your Greenleaf Organics at a subsidized rent of $5,200/month for the first 24 months of occupancy, starting from the expected handover date in January 2026."

The letter also mentioned that a formal lease would follow "in due course". Julia, relying on this, declined a lease renewal on her current shop, sold off much of her inventory, and invested $5,000 in branded renovations and pre-opening marketing for the new unit.

In November 2025, Oakridge informed her that due to "market changes," they had decided to lease Unit 14A to another person for a higher rent. They claimed that since no formal lease had been signed, they were not legally bound. Julia has sued Oakridge. She wants to argue that promissory estoppel prevents Oakridge from rescinding their promise. Is her argument viable?

# Compare

American Restatement (Second) of Contracts

§90. PROMISE REASONABLY INDUCING ACTION OR FORBEARANCE

(1) A promise which the promisor should reasonably expect to induce action or forbearance on the part of the promisee or a third person, and which does induce such action or forbearance is binding if injustice can be avoided only by enforcement of the promise. The remedy granted for breach may be limited as justice requires.

# Element 2 – A promise intended to affect the legal relationship

- A promise or an assurance which is *intended to affect* the legal relationship between the parties, and which indicates that the promisor will not insist on his strict legal rights, arising out of that relationship, against the promis**ee**.

- The promise must be voluntary.

- Promise must be “clear” or “unequivocal,” or “precise and unambiguous.” The promise on which an estoppel is based must be 'clear and unambiguous' and must not be conditional. *John Burrows; Trial Lawyers*

- The promise must have the same degree of certainty as would be needed to give it contractual effect if it were supported by consideration.

- The promise can be made by words or conduct, but mere inactivity will not usually suffice.

- The promisor must know of the facts [*not its legal significance*] that are said to give rise to that legal relationship, and of the alteration thereto. *Trial Lawyers*

# Trial Lawyers of BC v. Royal & Sun Alliance Insurance Company 298-304

- Why did the court conclude that Trial Lawyers had not identified any conduct by RSA that could amount to a “clear and unequivocal” or “unambiguous” assurance that it would refrain from denying coverage based on a later-revealed policy breach?

- In this case, a majority of the Justices held that the requirement that a promise or assurance must be intended to affect the parties’ legal relationship signifies that the promisor must know of the facts that are said to give rise to that legal relationship, and of the alteration thereto. Justice Karakatsanis, on the other hand, held that the promisor’s conduct must be analyzed objectively. The promisor’s intent should be discerned from their words or conduct. Their knowledge is relevant to the extent that it illuminates how the words or conduct can be reasonably interpreted, but it is not determinative. Which of these two approaches do you prefer, and why?

# John Burrows v. Subsurface Surveys 294-295

- “There must be evidence from which it can be inferred that the first party intended that the legal relations created by the contract would be altered as a result of the negotiations. It is not enough to show that one party has taken advantage of indulgences granted him by the other.” What is or should be the nature of the promise which founds a plea of promissory estoppel? Why are mere indulgences not enough?

- ‘This type of estoppel cannot be invoked unless there is some evidence that the parties entered into a course of negotiation which has the effect of leading the other to suppose that strict rights under the contract will not be enforced’. Is ‘prior negotiation’ a requirement for invoking promissory estoppel? If no, how legally significant is prior negotiation in promissory estoppel cases?

# Crabb v. Arun District Council 311-314

- “What then are the dealings which will preclude him from insisting on his strict legal rights? If he makes a binding contract that he will not insist on the strict legal position, a court of equity will hold him to his contract. Short of a binding contract, if he makes a promise that he will not insist upon his strict legal rights—then, even though that promise may be unenforceable in point of law for want of consideration or want of writing - then, if he makes the promise knowing or intending that the other will act upon it, and he does act upon it, then again a court of equity will not allow him to go back on that promise. Short of an actual promise, if he, by his words or conduct, so behaves as to lead another to believe that he will not insist on his strict legal rights—-knowing or intending that the other will act on that belief-and he does so act, that again will raise an equity in favour of the other; and it is for a court of equity to say in what way the equity may be satisfied. The cases show that this equity does not depend on agreement but on words or conduct”. Why does the law hold people accountable for such words or conduct even though there is no “agreement”?

- “The judge found that there was “no definite assurance” by the defendants' representative, and “no firm commitment,” but only an “agreement in principle,” meaning I suppose that, as Mr. Alford said, there were "some further processes" to be gone through before it would become binding. But if there were any such processes in the mind of the parties, the subsequent conduct of the defendants was such as to dispense with them. The defendants actually put up the gates at point B at considerable expense. That certainly led the plaintiff to believe that they agreed that he should have the right of access through point B without more ado”. What are the dangers of allowing ambiguous assurances or promises to found an estoppel?

# Element 3 – Detrimental Reliance on the Promise

- This requirement is at the heart of this estoppel.

- A promise cannot give rise to promissory estoppel unless the promisee can demonstrate that he relied on it. The promise must in some way have influenced the conduct of the promisee. Although the promise need not form the sole inducement, it must be an inducement.

- The reliance must be detrimental (not a mere change in position). Detrimental reliance suggests that a party is in a worse-off position, either by failing to act, or by acting, as a result of reliance on the representation that the other party would not be enforcing its legal rights.

- "We also affirm that detrimental reliance by the promisee must be shown to assert promissory estoppel. [...] Detrimental reliance has, however, always been a requirement for asserting promissory estoppel, or for that matter any form of estoppel. This is because, being an equitable doctrine, its goal is to address unconscionable, unjust, or unfair conduct. And what makes it unconscionable, unjust, or unfair to resile from a promise or assurance is that the promisor has, by intention and effect, induced the promisee to change its position in reliance thereon, to its detriment. **For that reason, asserting promissory estoppel requires evidence of prejudice, inequity, unfairness or injustice before courts will hold a promisor to its promise or assurance**." *Trial Lawyers of BC* at para 51

# Effects and Limitations on Promissory Estoppel

- Even when estoppel is established, it is not an estoppel against the enforcement of all of the agreement's terms. In other words, the remaining terms of the agreement remain enforceable. Estoppel will only prevent the enforcement of the term of the parties' agreement that has been suspended by their conduct due to the estoppel.

- Creates no new cause of action: It can be used as a **shield,** not as a sword
  - Meaning: a promise cannot give rise to a cause of action based on promissory estoppel *alone*. It cannot be the basis for obtaining a legal remedy such as damages
  - Rationale for limitation: so as not to undermine or erode the doctrine of consideration. The restriction preserves consistency between the equitable doctrine of promissory estoppel and the rule that a promise is not binding as a contract unless it is supported by consideration or made in a deed.
  - Criticisms:

✓ Other types of estoppel give rise to a cause of action (e.g., proprietary estoppel)

✓ In some countries, promissory estoppel gives rise to a cause of action [Australia; American Restatement (Second) of Contracts s. 90]

# Effects and Limitations on Promissory Estoppel (cont'd)

- It is an equitable doctrine (so, for example, a promisee may be prevented from invoking the doctrine because his hands are dirty, or he has acted inequitably]

- The promisor can reinstate his strict legal rights by giving reasonable notice to the promisee. This is because, in general, the estoppel suspends but does not extinguish the right.

- In Canada, promissory estoppel can apply against public officials, but it only applies where the "promise" made is not unlawful, and governmental officials possess actual statutory discretion or power to do what is promised. See *Immeubles Jacques Robitaille inc. v. Québec (City)*, [2014] 1 SCR 784, paras. 19-21.

- Once promissory estoppel is established, the court has considerable discretion in crafting a remedy that suits the circumstances.

# Combe v. Combe 290-293

- What were the facts of this case, the legal issue the court was invited to resolve and the decision of the court?

- Mention and explain one key feature of the doctrine of promissory estoppel you learnt from this case.

- This cases establishes that where one party has, by his words or conduct, made to the other a promise or assurance which was intended to affect the legal relations between them and to be acted on accordingly, then, once the other party has taken him at his word and acted on it, the one who gave the promise or assurance cannot afterwards be allowed to revert to the previous legal relations as if no such promise or assurance had been made by him, but he must accept their legal relations subject to the qualification which he himself has so introduced, even though it is not supported in point of law by any consideration but only by his word. <u>However, the person to whom the promise or assurance was made cannot sue on the promise unless she can demonstrate that she provided consideration for it.</u>

- "Much as I am inclined to favour the principle of the *High Trees* case, it is important that it should not be stretched too far lest it should be endangered. It does not create new causes of action where none existed before. It only prevents a party from insisting on his strict legal rights when it would be unjust to allow him to do so, having regard to the dealings which have taken place between the parties. [...] It may be part of a cause of action, but not a cause of action in itself." per Denning LJ.

# D & C Builders v. Rees 305-308

- “In applying this principle [of promissory estoppel], however, we must note the qualification. The creditor is barred from his legal rights only when it would be *inequitable* for him to insist on them. Where there has been a *true accord*, under which the creditor voluntarily agrees to accept a lesser sum in satisfaction, and the debtor *acts* on that accord by paying the lesser sum and the creditor accepts it, then it is inequitable for the creditor afterwards to insist on the balance. But he is not bound unless there has been truly an accord between them”. What circumstances in this case made it inequitable for the Rees’ to rely on promissory estoppel?

# Exercise 3

Jackson Construction Ltd. (“Jackson”) is a well-known subcontractor specializing in concrete foundation work. In late 2024, Jackson entered into negotiations with Riverstone Developers Ltd. (“Riverstone”), the main contractor on a large housing development in Reading. In December 2024, Riverstone sent Jackson an email stating, “We confirm that subject to formal documentation, you are approved to begin ordering materials and mobilizing on site from January 15th. Contract value agreed at $500,000. Formal contract to follow shortly”.

Based on this representation, Jackson ordered materials worth $150,000, booked machinery, and reallocated crews from other projects. Riverstone did not issue the formal contract, citing internal delays. In February 2025, Riverstone told Jackson that another subcontractor had been engaged instead “due to a change in budget”.

Jackson wants to sue for breach of contract and argue that a binding contract existed despite the absence of signed documents. As part of that claim, Jackson wants to invoke promissory estoppel to preclude Riverstone from denying the contract’s existence, based on their letter of December 2024. Explain whether, in this instance, the estoppel is being used as a sword (impermissible) or as part of a shield within an existing contractual framework (permissible).

# Exercise 4

Sarah began working for Pfeiffer Company in the early 1980s and served with the company for nearly 40 years. Over the decades, she earned a reputation as a diligent and loyal employee. By 2017, she held a senior executive assistant position and was well-regarded by management and the board of directors.

In December 2017, the Pfeiffer board of directors passed a resolution increasing her salary and stating that, upon her retirement, she would receive a lifetime monthly "bonus" of $8,000. The board's meeting minutes described the payment as being in recognition of her long and faithful service. The resolution stated that the bonus would be paid "upon retirement," without specifying a required retirement date or additional conditions.

Sarah continued working for a few more years after the pension was authorized, finally retiring in 2020 at age 70. In 2015, Sarah informed a colleague that she plans to retire at 65 but may delay her retirement "if need be".

After retiring, Sarah began receiving the $2,000 monthly payments, in addition to her normal pension from the company. These payments continued uninterrupted until 2024, when the company underwent a management change, and the new leadership questioned the legal obligation to continue paying her. It eventually ceased the $8,000 in June 2026, arguing that the original promise was unenforceable because it lacked consideration. Sarah wants to sue the company to compel it to resume the $8,000 payments. Assess the prospect that she can successfully rely on promissory estoppel.